



August 10, 2022

TO: Members, Senate Appropriations Committee

**SUBJECT: AB 1262 (CUNNINGHAM) INFORMATION PRIVACY: OTHER CONNECTED DEVICE
WITH A VOICE RECOGNITION FEATURE
OPPOSE – AS AMENDED AUGUST 1, 2022
SCHEDULED FOR HEARING – AUGUST 11, 2022**

We must respectfully **OPPOSE AB 1262 (Cunningham)**, as amended August 1, 2022. While we appreciate the recent amendments made to the bill, unfortunately, continue to have outstanding concerns with the bill, as set forth below.

AB 1262 reverses CPRA by requiring consumers to “opt-in” before the device can be used. Consumers who purchase smart speakers know that these speakers have one core function, and consumers buy these products to use that one function. Thus, if a customer does not opt-in to the retention of their data when using their smart speaker device, the device will not work. Accordingly, creating this extra step for consumers who buy these devices is not only unnecessary, but frustrating for users. Retention of data is necessary to make calls, play music, shop online, and use applications to perform functions around the house, such as turning on lights or opening doors. The confusion and frustration this will cause customers is unnecessary because consumers know what these devices do at the time of purchase.

AB 1262 also treats transcriptions of audio the same as voice recordings. Grouping transcripts together with more sensitive voice data obscures the distinctions between the two forms of data and the associated privacy risks. Transcripts are already considered a form of protected personal data under the CPRA, and AB 1262’s approach adds nothing but confusion.

AB 1262 prohibits the use of data collected from “incorrect activations” for any purpose other than to improve the device. AB 1262 requires a user to opt-in before a business can use an audio recording associated with an incorrect activation to improve the accuracy of the device. As a threshold issue, businesses cannot know whether the information was captured through incorrect activation until it is analyzed and determined as such. §22948.20(g)(1) states that a person or entity providing the operation of a voice recognition feature “determines that the voice recognition feature was incorrectly activated,” the person or entity shall not use the associated audio for any purpose except as provided in section §22948.20(g)(2). Implicit in this logic is that one does not know whether the information was captured through incorrect activation until it is analyzed, which takes time. Accordingly, in-order to operationalize this section, it is important that a business be permitted to retain data for a reasonable period of time in order to determine if it is the result of incorrect activation. Further, the only way to improve the accuracy of voice recognition devices and prevent future incorrect activation is to allow the use of this information to help improve device functionality. Analysis of this data is also important for improving functionality for people with different speech patterns, including people who suffer from ailments that affect their speech. Requiring consumers to opt-in to business use of data to improve their own products and services will thus increase user frustration and slow down the ability to improve these devices.

For these reasons, we must respectfully **OPPOSE AB 1262 (Cunningham)**.

Sincerely,

A handwritten signature in dark ink, appearing to read 'R Daylami', with a long horizontal flourish extending to the right.

Ronak Daylami
Policy Advocate
California Chamber of Commerce
on behalf of

American Association of Advertising Agencies – Alison Pepper
Association of National Advertisers – Travis Frazier
California Chamber of Commerce – Ronak Daylami
Civil Justice Association of California – Jaime Huff
Consumer Technology Association – Stephanie Morwell
Entertainment Software Association – Maya McKenzie
Interactive Advertising Bureau – Lartease Tiffith
TechNet – Dylan Hoffman

cc: Legislative Affairs, Office of the Governor
Gianna Rogers, Office of Assemblymember Cunningham
Matthew Fleming, Senate Appropriations Committee
Morgan Branch, Senate Republican Caucus